and other benefits. They exercise pressure on the employer's through-trade unions. There will be industrial unrest and conflict in society, if business does not fulfil its obligations.

6. Free Enterprise

A business enterprise which accepts and discharges social obligations enjoys greater freedom. For example, the government has passed the Consumer Protection Act to prevent businessmen from indulging in adulteration, black marketing and other anti-social practices. Thus, social responsibilities are essential for avoiding governmental action against business. Such action will reduce the freedom of decision making in business.

7. Law and Order

Any business unit can survive and grow only when there is law and order in society. If business exploits the weaker sections of society for too long, these sections will take the law in their own hands. The resulting chaos will threaten the very survival of business.

8. Moral Justification

In a large country like India, government alone cannot solve all the problems. Business has money and talent with which it can assist the government in solving problems. For example, business can play a vital role in solving regional disparities, unemployment, illiteracy, scarcity of foreign exchanges and such other problems in the country. Moreover, business has created some social problems such as pollution, health hazards, etc. Therefore, business should help society in solving its problems.

9. Socio-Cultural Norms

India has a rich cultural heritage. Businessmen who help in preserving and promoting this heritage will naturally enjoy the patronage of the society and the government. Business should, therefore, promote equality of opportunity, healthy relations with employees and customers, etc.

10. Professionalism

Management of business enterprises is being professionalised. An owner-manager nurses a greater greed for profiteering because all the gains go to him. But a salaried and qualified manager is less likely to be lured because he does not benefit from the profits earned through questionable practices.

11. Trusteeship

Mahatma Gandhi suggested that "those who own money or property should hold and use it in trust for society." Businessmen should run business firms not for their self-enrichment but for the good of the society.

17.03 Arguments For and Against Social Responsibility

Arguments for social responsibility

The rationale for assuming social responsibility lies in the following arguments;

1. Protection of Stakeholders Interest

A business organisation is a coalition of several interest groups or stakeholders. Example – shareholders, customers, employees, suppliers, etc. Business should, therefore, work for the interest of all of them rather than for the benefit of shareholders / owners alone.

Commerce 16-25.indd 171 10/12/2022 16:33:11